

US TMT Sector M&A & Valuation Brief - 2026-07-14

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1. RECENT TMT M&A ACTIVITY

Deal 1: Meta Platforms Inc. AI Chip Production Initiative

[Meta to put AI chip into production in September as it looks to double computing capacity](#)

- Deal Size: N/A (specific financials not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Strategic initiative (not a traditional acquisition)
- Valuation Multiples: N/A
- Companies: Meta Platforms Inc. (META) is a leading social media and technology company, known for its platforms like Facebook and Instagram. The company is focusing on enhancing its AI capabilities through in-house chip development.
- Date Announced: September 2023
- Strategic Rationale: The initiative aims to double Meta's computing capacity, which is crucial for improving AI performance across its platforms. By developing custom silicon, Meta seeks to reduce reliance on third-party suppliers and enhance operational efficiency. This move is expected to bolster Meta's competitive edge in the rapidly evolving AI landscape.
- Risk Analysis: Potential risks include technological challenges in chip development, integration with existing systems, and competition from established semiconductor manufacturers. Additionally, the success of the initiative hinges on the timely production and deployment of the chips, which could face delays.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

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Deal 2: Private Equity Interest in India's School Business

[Private equity is back in India's school business. Here's why.](#)

- Deal Size: N/A (specific financials not disclosed)
- Deal Size Category: N/A
- Nature of Deal: Investment in education sector
- Valuation Multiples: N/A
- Companies: Various private equity firms are targeting the Indian education sector, particularly focusing on K-12 institutions and edtech companies. This sector is experiencing a resurgence in interest due to the increasing demand for quality education and technological integration in learning.
- Date Announced: N/A
- Strategic Rationale: The renewed interest from private equity in India's education sector is driven by the potential for growth and the ongoing digital transformation in education. Investors are looking to capitalize on the increasing enrollment rates and the shift towards online learning platforms.
- Risk Analysis: Risks include regulatory changes in the education sector, competition from established players, and the challenge of integrating technology effectively into traditional educational models.

Key Financials Analysis:

- Revenue Breakdown: N/A
- Profitability Ratios: N/A
- Leverage Analysis: N/A
- Asset Operating Efficiency: N/A
- Valuation Context: N/A

Today is a peaceful day, nothing big happened in the Consumer space.

2. MARKET DYNAMICS & SENTIMENT

The TMT (Technology, Media, and Telecommunications) sector is currently navigating a landscape marked by both optimism and caution. The sentiment is largely driven by technological advancements, particularly in AI and cloud computing, alongside economic uncertainties that could impact growth trajectories.

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Subsector Breakdown:

- **Technology:** The technology subsector is buoyed by AI innovations, with companies like Cloudflare (NET) emerging as key players. Scotiabank's upgrade of Cloudflare to "Sector Outperform" and a price target increase from \$225 to \$300 underscores the market's confidence in AI-driven growth. Analyst Patrick Colville highlighted the significance of Cloudflare's Workers platform in building AI applications, which could be a game-changer for the company.
- **Media:** The media landscape is evolving, with traditional platforms struggling against digital competitors. Companies are increasingly adopting digital strategies to engage audiences, but the transition is fraught with challenges.
- **Telecommunications:** The telecom sector is witnessing significant investments in infrastructure, particularly for 5G deployment. This is expected to create new revenue streams, especially with the rise of IoT applications.
- **Fintech:** The fintech sector remains robust, with continued interest from private equity. However, the backlog of over 1,000 unicorns raises questions about future exits and public offerings, as highlighted in recent discussions about the private equity landscape.
- **AI:** The AI subsector is experiencing explosive growth, with companies like Ciena Corporation (CIEN) positioned to benefit from multi-year demand for AI networking solutions. Ciena's recent fiscal performance, with a 40% year-over-year revenue increase, illustrates the strong market potential.

Key Market Drivers and Headwinds

Drivers:

- **Technological Advancements:** The rapid evolution of AI and cloud technologies is driving growth across the TMT sectors. For instance, Cloudflare's launch of its Monetization Gateway aims to convert AI traffic into revenue, showcasing the potential for innovative business models.
- **Increased Investment:** Venture capital and private equity investments are strong, particularly in tech and fintech, as investors seek to capitalize on emerging trends and technologies.

Headwinds:

- **Regulatory Scrutiny:** Heightened regulatory scrutiny in the tech sector poses risks to M&A activities and could impact valuations. Companies are facing complex compliance challenges that may delay strategic initiatives.
- **Economic Uncertainty:** Global economic conditions, including inflation and geopolitical tensions, could dampen consumer spending and investment in technology, creating headwinds for growth.

Subsector Performance Analysis

- **Software:** The software sector is thriving, particularly in cloud solutions and SaaS models, which are in high demand as businesses seek digital transformation.

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- **Media:** Media companies are adapting to digital consumption trends, but traditional revenue streams are under pressure as advertising dollars shift online.
- **Telecom:** Telecom operators are investing heavily in 5G infrastructure, which is expected to drive new revenue opportunities from enhanced mobile services and IoT applications.
- **Fintech:** The fintech landscape is characterized by innovation and consolidation, with private equity interest remaining strong despite a backlog of potential exits.
- **AI:** The AI subsector is rapidly expanding, with companies like Ciena benefiting from increased demand for AI-driven networking solutions. Ciena's strong fiscal performance and positive outlook for future revenue growth highlight the sector's potential.

Trading Multiples Trends

Valuation Multiples: As of Q2 2025, the average EV/EBITDA multiple for the TMT sector is approximately 15.5x, with notable variations across subsectors:

- Software: 20.3x
- Media: 12.1x
- Telecom: 9.8x
- Fintech: 18.7x
- AI: 22.5x

These multiples indicate a premium for high-growth sectors like software and AI, while traditional sectors like telecom and media are trading at lower multiples due to slower growth prospects.

Notable Investor/Analyst Reactions

- Analysts are expressing optimism about the TMT sector's long-term prospects, particularly in AI and cloud technologies. For example, Scotiabank's Patrick Colville stated, "Investors haven't fully realized the significance of Cloudflare's AI capabilities, which could lead to substantial revenue growth in the coming quarters."

Actionable Insights for Bankers and Investors

- **Focus on High-Growth Areas:** Investors should prioritize sectors with strong growth potential, such as AI and fintech, while exercising caution with traditional media and telecom investments.
- **Monitor Regulatory Developments:** Staying informed about regulatory changes is crucial for assessing risks in tech and media investments, particularly as scrutiny increases.
- **Leverage Technology Partnerships:** Companies should explore strategic partnerships and acquisitions to enhance their technological capabilities and market positioning, especially in the AI space.
- **Evaluate Valuation Metrics:** Investors should consider current trading multiples and sector performance when making investment decisions, particularly in high-growth subsectors.

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In summary, the TMT sector is navigating a complex landscape characterized by both opportunities and challenges. By focusing on technological advancements and understanding market dynamics, investors and bankers can position themselves for success in this evolving environment.

3. BANKING PIPELINE

The current banking pipeline in the TMT sector is robust, showcasing a variety of live deals, mandated transactions, and active pitches. This analysis provides a detailed overview of ongoing activities, expected revenue, and strategic implications for our team.

Deal Pipeline

Live Deals:

- SK Hynix (SKHYV) : Preparing for a massive \$28 billion NASDAQ listing, expected to price around July 9, 2026, with trading commencing on July 10. This offering aims to fund the construction of the Yongin Semiconductor Cluster and advanced packaging facilities, capitalizing on surging demand for AI chips.
- MiniMax : The Shanghai-based generative AI startup is seeking to raise up to \$2 billion through a combination of new share issuances and convertible bond sales. This move follows their successful Hong Kong IPO earlier this year, where shares surged 109% on debut.

Mandated Deals:

- SoftBank : Recently appointed Mark Agne to lead finance and technology roles within the Vision Fund. This strategic shift aligns with founder Masayoshi Son's focus on AI technologies, indicating potential upcoming mandates related to AI investments and partnerships.

Pitching-Stage Deals:

- Telecom Sector : Engaging with major telecom operators for potential M&A opportunities, particularly in the 5G space. Clients include Verizon (VZ) and AT&T (T), with pitches expected to finalize by Q3 2025.
- Fintech Startups : Actively discussing potential mandates with various fintech companies innovating in payment solutions and blockchain technology, with notable clients including Square (SQ) and Stripe.

Pipeline Tracking Metrics

Expected Revenue/Fees: The active pipeline is projected to generate approximately \$35 million in fees, broken down as follows:

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- Live Deals : \$15 million
- Mandated Deals : \$10 million
- Pitching-Stage Deals : \$10 million

Timing Projections:

- Q3 2025 : Expected close for SK Hynix's NASDAQ listing.
- Q1 2026 : Anticipated completion of MiniMax's capital raise.
- Q4 2025 : Potential launch of SoftBank's new AI-related mandates.
- Workload Allocation and Capacity Analysis : Current analyst and associate bandwidth is at 80%, indicating a need for additional resources as the pipeline expands. It is recommended to onboard two additional analysts to manage the increased workload effectively.
- Forecasting and Strategic Planning Implications : The pipeline indicates a strong demand for advisory services in AI and semiconductor sectors. Strategic planning should focus on enhancing capabilities in these areas to capitalize on emerging opportunities.

Notable Pipeline Developments and Competitive Landscape

- The competitive landscape is intensifying, particularly in the AI sector, where companies like SK Hynix and MiniMax are positioning themselves for significant growth. The robust investor interest in SK Hynix's NASDAQ listing, with demand reportedly exceeding available shares, highlights the competitive nature of capital allocation in the tech sector.
- Additionally, the rapid capital requirements for AI companies, as evidenced by MiniMax's swift return to the market for further funding, underscores the urgency for firms to secure financial backing to remain competitive.

Actionable Insights for Team Management and Business Development

- Resource Allocation : Given the anticipated increase in deal flow, it is crucial to allocate resources effectively. Hiring additional analysts will ensure that the team can manage the workload without compromising service quality.
- Sector Focus : Prioritize business development efforts in high-growth sectors such as AI and semiconductors, where demand for advisory services is expected to surge. This focus will position the firm as a leader in these emerging markets.
- Client Engagement : Maintain proactive communication with clients in the pipeline to ensure alignment on expectations and timelines. Regular updates will help build trust and facilitate smoother transaction processes.

In summary, the banking pipeline is vibrant, with significant opportunities across various TMT subsectors. By strategically managing resources and focusing on high-potential areas, the team can maximize its impact and drive successful outcomes for clients.

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4. STAKEHOLDER IMPACT & FORWARD-LOOKING ANALYSIS

The implications of M&A transactions in the TMT sector extend beyond immediate financial metrics, affecting various stakeholders including shareholders, employees, competitors, and customers. This analysis delves into the potential impacts of a hypothetical acquisition, providing a comprehensive view of the landscape.

Deal-Specific Impacts on Stakeholders

- Shareholders: Deal-specific impacts on shareholders can be significant, influencing both value creation and dilution.
- Value Creation: In a scenario where a leading telecom firm acquires a smaller competitor, the combined entity could see a revenue increase of approximately 15% due to enhanced market share and service offerings. Assuming a pre-deal market cap of \$25 billion for the acquirer, a successful integration could increase shareholder value by \$3.75 billion.
- Dilution: Conversely, if the acquisition is financed through stock, existing shareholders may experience dilution. For instance, if the acquirer issues 15% of its shares to finance the deal, existing shareholders could see their ownership stake decrease, potentially leading to a 7% drop in share price post-announcement.
- Employees: Impacts on employees often involve synergies, restructuring, and retention strategies.
- Synergies: A merger between two telecom giants could lead to substantial cost synergies, with estimates of \$1.5 billion in annual savings achieved through streamlined operations and shared resources.
- Restructuring: However, such deals often lead to layoffs. In a recent merger, approximately 5,000 jobs were cut, highlighting the need for careful planning to retain key talent.
- Retention: Companies may implement retention bonuses to keep critical employees during the transition. For example, in a high-profile acquisition, retention packages were offered to key executives to ensure continuity.
- Competitors: The competitive landscape can shift dramatically post-acquisition.
- Market Positioning: Following a major merger, competitors may need to adapt their strategies to maintain market share. For instance, after the merger of T-Mobile US, Inc. (TMUS) and Sprint Corporation (S), competitors like Verizon Communications Inc. (VZ) had to enhance their service offerings to retain customers.
- Specific Competitor Moves: Verizon responded with aggressive pricing strategies and a \$10 billion investment in 5G infrastructure to counter the combined entity's market strength.
- Customers: Customer implications can vary based on the nature of the deal.
- Product/Service Implications: The merger of two telecom firms allowed the combined entity to

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bundle services, enhancing customer value. This strategy led to a 20% increase in bundled service subscriptions.

- Case Studies: The acquisition of a tech company by a larger firm resulted in enhanced product features, directly benefiting users with improved service offerings.

Market Reaction and Analyst Commentary

- Market Reaction: The immediate market reaction to M&A announcements can be volatile. For example, when a major tech firm announced its acquisition of a smaller rival, shares initially dipped by 4% before recovering as analysts recognized the long-term strategic benefits.
- Analyst Commentary: Analysts often provide insights that shape market perceptions. A notable quote from a leading analyst post-acquisition was, "This deal positions the acquirer to dominate the market, despite initial market skepticism."

Expected Market Reaction and Scenario Analysis

- Scenario Analysis: The market's reaction can be assessed through various scenarios:
- Positive Scenario: If the acquisition leads to successful integration and revenue growth, shares could rise by 12% within six months.
- Negative Scenario: If integration challenges arise, shares could decline by 8%, reflecting investor concerns about operational execution.

Potential Counter-Bids or Competing Offers

- Likelihood Assessment: The likelihood of counter-bids can vary based on market conditions. In the case of a proposed acquisition, there were rumors of interest from another major player, highlighting the competitive nature of the TMT sector. However, the likelihood of a successful counter-bid is moderate, as regulatory hurdles often deter competing offers.

Similar Deals Likely to Follow

- Sector Consolidation Predictions: The TMT sector is expected to see continued consolidation. Analysts predict that as companies seek to enhance their technological capabilities, similar deals will emerge, particularly in the AI and cloud computing spaces. Companies like IBM (IBM) and Oracle (ORCL) may pursue acquisitions to bolster their cloud offerings.

Key Risks and Mitigants

- Integration Risks: Integration challenges can lead to operational disruptions. Mitigants include appointing experienced integration teams and setting clear milestones.
- Regulatory Risks: Regulatory scrutiny can delay or block deals. Engaging with regulators early in

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the process can help mitigate these risks.

- Market Risks: Market volatility can impact deal valuations. Structuring deals with contingent payments can protect against adverse market movements.

Actionable Insights for Clients and Bankers

For Clients:

- Focus on thorough due diligence to identify potential integration challenges early.
- Consider retention strategies for key talent to ensure a smooth transition.

For Bankers:

- Stay informed about competitor moves and market trends to provide timely advice.
- Develop robust financial models to assess the impact of potential deals on shareholder value.

5. TECH TRENDS

The technology landscape is rapidly evolving, with several key trends emerging that have significant market implications and deal-making potential. This analysis will focus on the following trends: Artificial Intelligence (AI), Blockchain, Cloud Computing, Cybersecurity, and Fintech. Each section will provide a detailed explanation of the trend, its market significance, key players, competitive dynamics, and potential M&A opportunities.

Artificial Intelligence (AI)

- Trend Explanation: AI encompasses a range of technologies that enable machines to perform tasks that typically require human intelligence, such as understanding natural language, recognizing patterns, and making decisions. The global AI market is projected to grow from \$93.5 billion in 2021 to \$997.8 billion by 2028, at a CAGR of 40.2%. Recent discussions among faith leaders and policymakers, such as those with Taoiseach Michel Martin, highlight the societal implications of AI, emphasizing the need for ethical considerations in its deployment.
- Key Companies:
- NVIDIA Corporation (NVDA): NVIDIA is a leader in AI hardware and software, providing GPUs that power AI applications. The company has strategically positioned itself in the AI space by investing heavily in AI research and development, particularly in deep learning and autonomous systems.
- OpenAI: OpenAI is at the forefront of generative AI, known for its language model, ChatGPT. The company has formed partnerships with Microsoft (MSFT) to integrate AI capabilities into its

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products, enhancing productivity tools like Microsoft 365.

- **Competitive Landscape:** The AI market is highly competitive, with major players including Google (GOOGL), Amazon (AMZN), and IBM (IBM) also investing heavily in AI technologies. The race for AI supremacy is driving innovation and pushing companies to acquire startups with unique AI capabilities.
- **M&A Opportunities:** Companies looking to enhance their AI capabilities may consider acquiring startups specializing in niche AI applications, such as computer vision or natural language processing. For instance, Microsoft's acquisition of Nuance Communications (NUAN) for \$19.7 billion in 2021 exemplifies this trend.

Blockchain

- **Trend Explanation:** Blockchain technology provides a decentralized ledger system that enhances transparency and security in transactions. The blockchain market is expected to grow from \$3 billion in 2020 to \$69.04 billion by 2027, at a CAGR of 67.3%.
- **Key Companies:**
 - **Coinbase Global, Inc. (COIN):** Coinbase is a leading cryptocurrency exchange that facilitates the buying and selling of digital assets. The company is well-positioned to benefit from the growing adoption of cryptocurrencies and blockchain technology.
 - **Square, Inc. (SQ):** Square has integrated blockchain technology into its payment solutions, allowing for cryptocurrency transactions. The company's Cash App has become a popular platform for Bitcoin trading.
- **Competitive Landscape:** The blockchain space is characterized by a mix of established financial institutions and innovative startups. Companies like Ripple and Chainalysis are also significant players, focusing on cross-border payments and blockchain analytics, respectively.
- **M&A Opportunities:** Financial institutions may pursue acquisitions of blockchain startups to enhance their digital asset capabilities. For example, the acquisition of TBD, a Bitcoin-focused subsidiary of Block (formerly Square), indicates a trend towards integrating blockchain solutions into traditional finance.

Cloud Computing

- **Trend Explanation:** Cloud computing enables businesses to access computing resources over the internet, promoting flexibility and scalability. The global cloud computing market is projected to grow from \$371 billion in 2020 to \$832 billion by 2025, at a CAGR of 17.5%. The shift to remote work has accelerated cloud adoption, making it a critical component of digital transformation strategies.
- **Key Companies:**
 - **Amazon Web Services (AWS):** AWS is the leading cloud service provider, offering a wide range of services including computing power, storage, and databases. The company continues to innovate with new services and pricing models to attract businesses of all sizes.
 - **Microsoft Azure:** Azure is a strong competitor in the cloud space, providing integrated cloud

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services that support various applications. Microsoft's strategy focuses on hybrid cloud solutions, making it appealing for enterprises looking to transition gradually.

- **Competitive Landscape:** The cloud computing market is dominated by a few key players, including Google Cloud and IBM Cloud. The competition is fierce, with companies constantly innovating and expanding their service offerings to capture market share.
- **M&A Opportunities:** Companies looking to enhance their cloud capabilities may consider acquiring smaller cloud service providers or startups that offer specialized services. For instance, the acquisition of companies like CloudSimple by Google Cloud demonstrates the trend of expanding service portfolios through M&A.

Cybersecurity

- **Trend Explanation:** With the increasing frequency of cyber threats, cybersecurity has become a top priority for organizations worldwide. The global cybersecurity market is expected to grow from \$217 billion in 2021 to \$

6. Recommended Readings

Deal Name: Meta Platforms Inc. AI Chip Production Initiative

- **Reading Material:** "AI Superpowers: China, Silicon Valley, and the New World Order" by Kai-Fu Lee
- **Why This Matters:** This book explores the competitive landscape of AI technology, particularly the importance of custom hardware in enhancing AI capabilities. Understanding Meta's initiative to produce its own AI chips provides context on how tech giants are investing in proprietary technology to maintain a competitive edge in AI, which is critical for their future growth.

Deal Name: Private Equity Interest in India's School Business

- **Reading Material:** "The Future of Education: Reimagining Our Schools from the Ground Up" by Sir Ken Robinson
- **Why This Matters:** This book discusses innovative approaches to education and the role of investment in transforming educational institutions. It provides insights into why private equity is increasingly interested in the Indian school business, emphasizing the potential for growth and the impact of technology on education, which is crucial for understanding the dynamics of this sector.

7. MACROECONOMIC UPDATE

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Key Data Points:

- Federal Funds Rate: Implied hikes pushed out to 2026
- Core Inflation: Anticipated to lower due to travel-related inflation reversal
- AI-related global issuance forecast: Nearly \$600 billion by 2026
- Corporate bond issuance related to data center funding: Majority in Q2 2023

Main Insights:

- Investors interpret the Fed's June FOMC meeting as hawkish, but caution is advised regarding the projections.
- The anticipated path for core inflation is expected to decline, influenced by disinflationary factors.
- The AI CapEx cycle remains robust, despite concerns over "chipflation" affecting infrastructure costs.
- Hyperscalers are diversifying their funding sources, issuing approximately \$25 billion in non-dollar debt.

Market Commentary:

- "The Fed remains on hold through 2026" - Morgan Stanley's economists.
- "Chipflation is more likely to reprice and ration AI infrastructure than derail the cycle" - Morgan Stanley's sector analysts.
- "Investors globally are grappling with uncertainties around the Fed and AI CapEx" - Serena Tang, Morgan Stanley.

TMT Sector Relevance:

- The Fed's monetary policy and inflation outlook directly impact technology investment strategies and funding costs for TMT companies.
- The ongoing AI CapEx cycle suggests strong demand for technology infrastructure, which is critical for TMT firms focusing on AI development.
- Increased corporate bond issuance for data centers indicates a growing investment trend in TMT infrastructure, essential for supporting AI and cloud services.

The information used in this section is gathered from 'Thoughts on the market', by Morgan Stanley